

Building the Innovative Organization

Chapter 5 — Structure, Culture & Climate

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Learning Objectives

By the end of this chapter, you will be able to:

- **Identify** the components of an innovative organization (Shared Vision, Structure, Key Individuals).
- **Contrast** Mechanistic vs. Organic organizational structures.
- **Analyze** the role of "Key Individuals" (Champions, Gatekeepers).
- **Evaluate** the importance of High Involvement Innovation.
- **Assess** "Creative Climate" using Ekvall's dimensions.

What Makes an Organization Innovative?

Innovation is not just about having smart people; it is about the **context** in which they work.

Core Components

1. **Shared Vision:** A clear sense of direction and purpose.
2. **Structure:** Enabling flexibility rather than blocking it.
3. **Key Individuals:** Roles that bridge gaps.
4. **High Involvement:** Participation from the whole workforce.
5. **Creative Climate:** An environment that supports risk-taking.

Top management commitment is the single most important factor in innovation success.

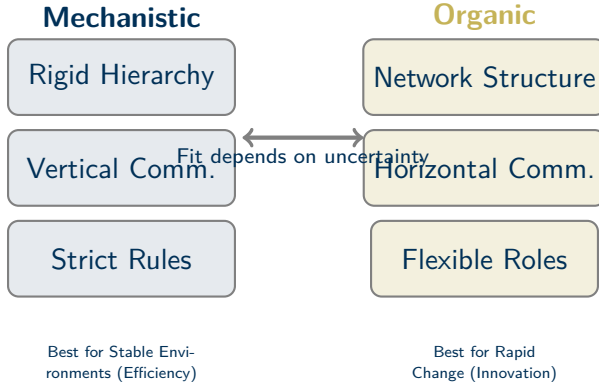
Why Vision Matters:

- Provides a "magnetic north" for decision making.
- Helps employees understand *why* change is necessary.
- Prevents innovation from being "random."

Top Management Role

Leaders must not only *support* innovation (passive) but actively *champion* it (active) by allocating resources and protecting new ideas from bureaucracy.

Structure: Burns Stalker (1961)



Key Individuals

Innovation is a social process requiring specific roles.

- **The Champion:** The energetic promoter who pushes the idea through resistance (Power).
- **The Gatekeeper:** Collects information from outside (Tech/Market) and filters it to the team (Information).
- **The Sponsor:** High-level executive who provides resources and political cover (Legitimacy).
- **The Project Manager:** Focuses on execution and timeline (Discipline).

Warning

A common failure mode is assigning a Project Manager to do a Champion's job.

High Involvement Innovation (Kaizen)

Innovation is not just for the R&D lab.

High Involvement

Mobilizing the entire workforce to contribute to problem-solving and continuous improvement (Kaizen).

Levels of Involvement:

1. **Level 1:** "I just do my job."
2. **Level 2:** "I suggest improvements to my job."
3. **Level 3:** "We solve problems as a team."
4. **Level 4:** "We design our own processes." (Autonomous Teams)

Teamwork: The Engine of Innovation

Innovation is rarely a solo act. It requires cross-functional teams.

Advantages of Diversity:

- Different perspectives prevent "Groupthink."
- Access to wider networks.

Challenges:

- "Language" barriers (e.g., Engineers vs. Marketers).
- Conflict is inevitable (and necessary) but must be managed.

Constructive Conflict: Arguing about ideas, not personalities.

Creative Climate Dimensions (Ekvall)

Climate is the "recurring patterns of behavior, attitudes, and feelings" in the organization.



Organizations with these characteristics produce more and better ideas.

Boundary Spanning

Innovative organizations do not look inward only. They span boundaries.

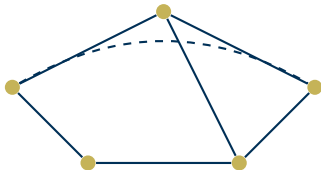
- **Internal Boundaries:** Breaking down "Silos" between departments (e.g., R&D and Sales).
- **External Boundaries:** Connecting with customers, suppliers, and universities (Open Innovation).

The "Not Invented Here" Syndrome

A cultural pathology where organizations reject external ideas. Boundary spanners cure this by translating external ideas into internal language.

Structure Evolution: The "Spaghetti" Model

How do modern firms organize for extreme flexibility? (Example: Oticon).



Project-Based Organization

No fixed job titles. People
move to where the work is.

Status is based on contribution, not hierarchy.

Summary:

1. Building an innovative organization requires aligning **Strategy, Structure, and Culture**.
2. Structures must evolve from Mechanistic (efficiency) to **Organic** (flexibility) as uncertainty increases.
3. **Key Individuals** (Champions, Gatekeepers) are essential to navigate the social complexity of change.
4. Leaders must cultivate a **Creative Climate** defined by trust, challenge, and support.

Thank You

Questions?